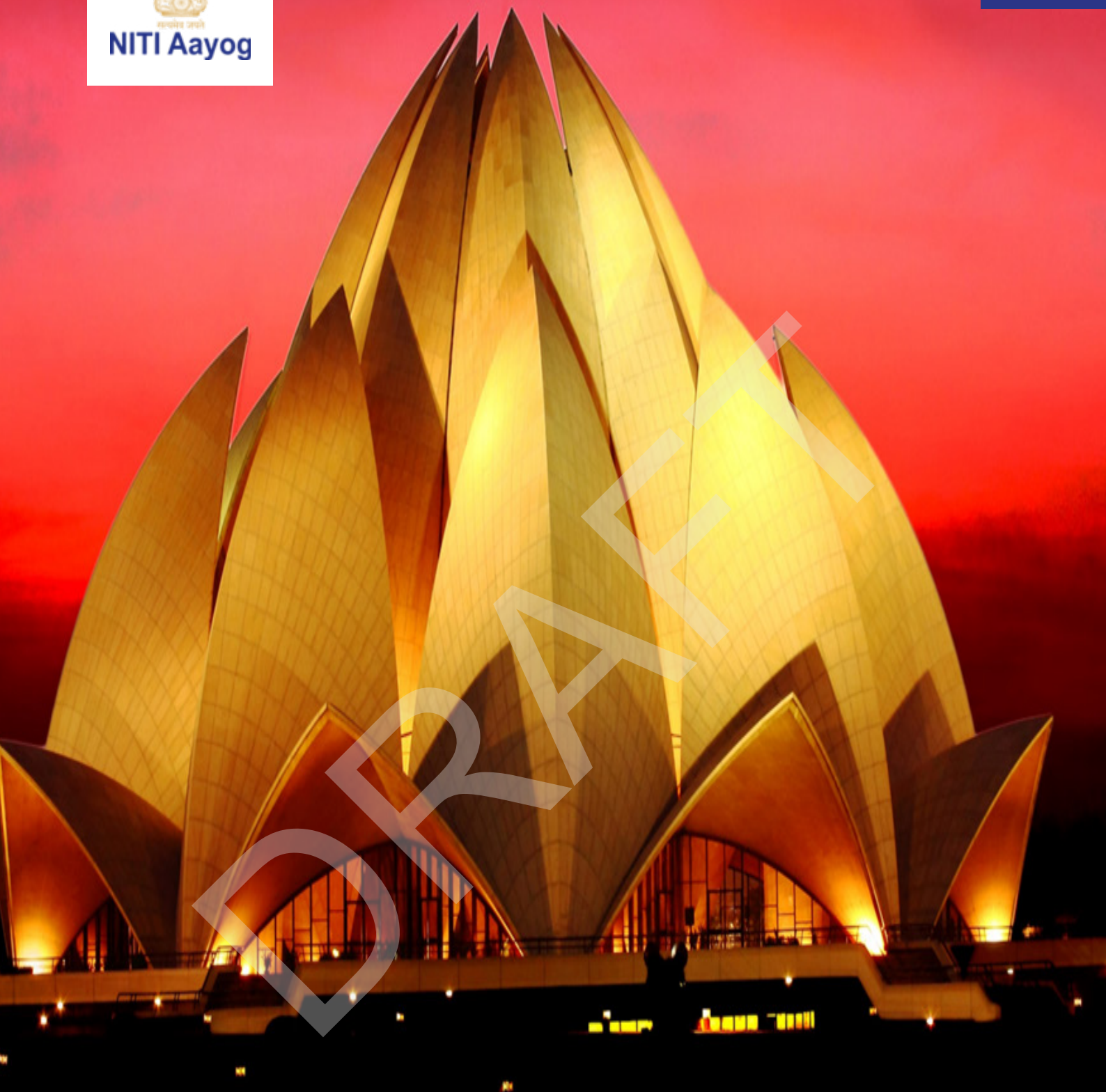




NITI Aayog

DRAFT



Sector at a glance

Domestic Tourism

Tourism in India

DRAFT

Sector at a glance

Tourism

Domestic Tourism

The '**Sector-at-a-Glance**' provides an easy-to-read overview for anyone looking to develop a basic understanding of a sector, sub-sector, or thematic area. The facts and insights on the sector are supported by relevant data and best practices where available from credible government and multilateral sources. The document covers the structure, key trends, opportunities and challenges, and government initiatives being undertaken in the sector. Finally, a 'Way Forward' section sets out the major developments that will shape the future of the sector.

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Overview



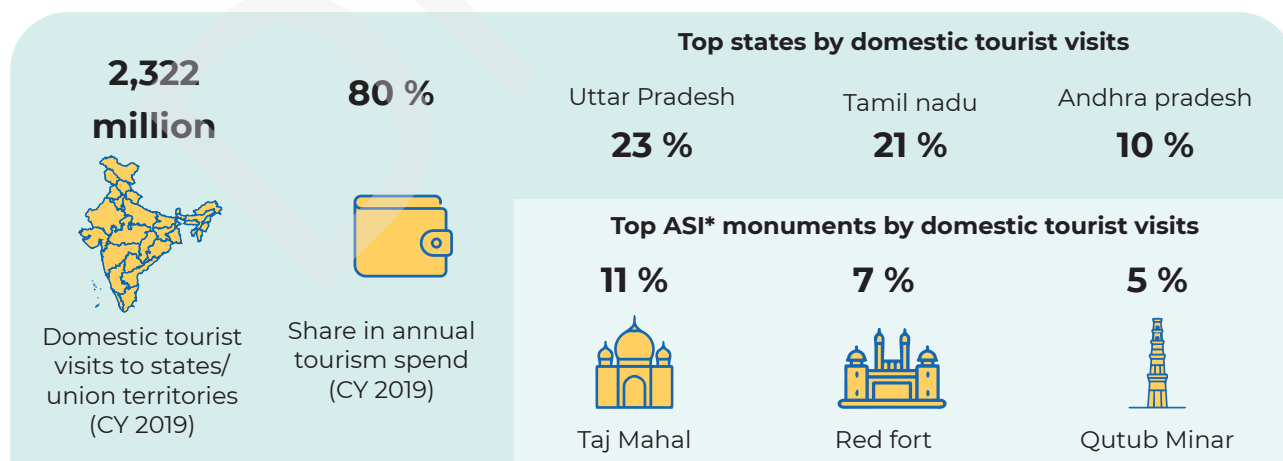
Domestic tourism not only build's a country's brand image and identity, but is also a key contributor to its economy. It stimulates local businesses, generates employment, and boosts regional economies, while promoting cultural exchange and strengthening national identity by encouraging citizens to explore and appreciate their homeland.

Globally, **five of the top 10** tourism nations recorded **more than 80%**¹ of annual tourism spend on domestic tourism.

In India, the **domestic tourism industry** logged a compound annual growth rate (**CAGR**) of **11%** between calendar years (CY) 2013 and 2019 with **2,322**²¹ **million trips** recorded in 2019 alone.

The contribution of domestic tourism in India (80% of annual spend in 2019) underscores the critical role played by local travel in driving economic growth of a country. The spending power of domestic travellers bolsters the regional economy and sustains numerous businesses in the hospitality, transportation and service sectors. Moreover, as the government continues to promote initiatives such as Dekho Apna Desh, domestic tourism has become an essential catalyst for fostering a sense of pride, unity and exploration among citizens. Reliance on internal travel not only signifies the richness of India's tourism potential, but also ensures that the benefits of this industry are widely distributed, contributing significantly to the nation's economic prosperity.

Figure 1: Snapshot of India's domestic tourism industry



*ASI: Archaeological Survey of India

Note: Due to the outsized impact of the Covid-19 pandemic on the tourism sector between calendar years 2020 and 2022, data for 2019 has been taken into account for a more representative analysis.

Source: Ministry of Tourism

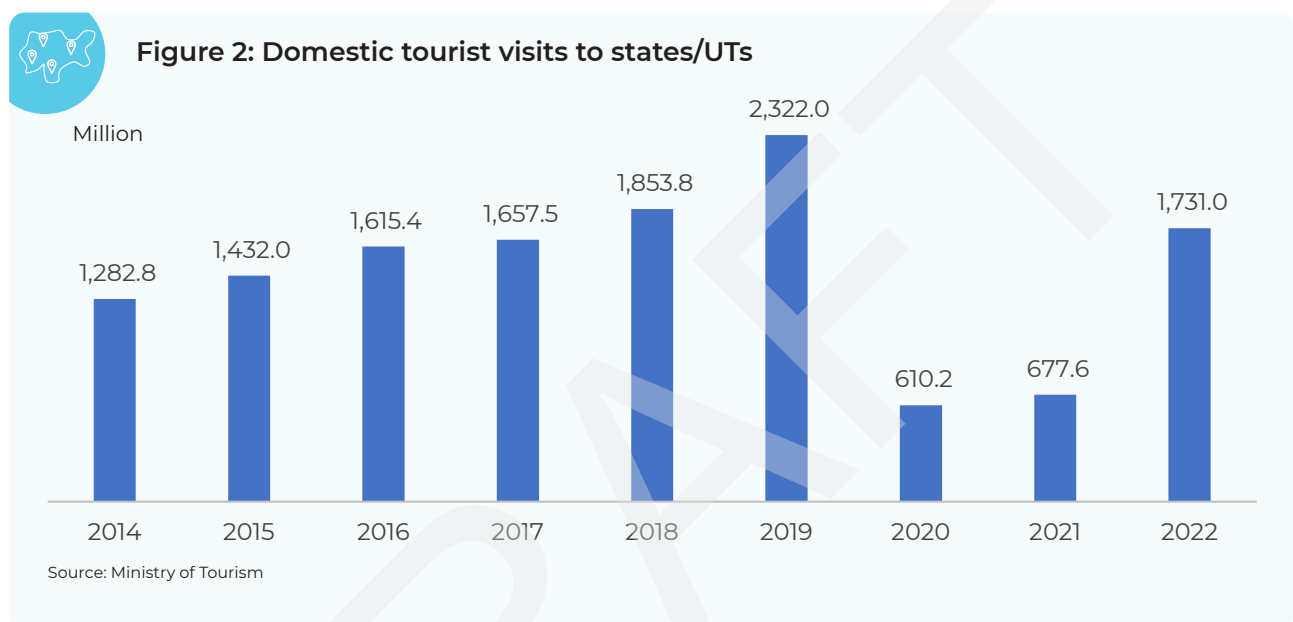
¹ World Travel and Tourism Council (WTTC)

²¹ Ministry of Tourism, Government of India



Growth drivers

Rising disposable incomes, a growing middle class, diverse destinations, improved airline connectivity, affordable fares and convenience of booking trips online have propelled local travel. In 2022, despite the impact of the pandemic, domestic tourist trips recovered to ~75% of pre-pandemic levels and breached the 2017 levels.

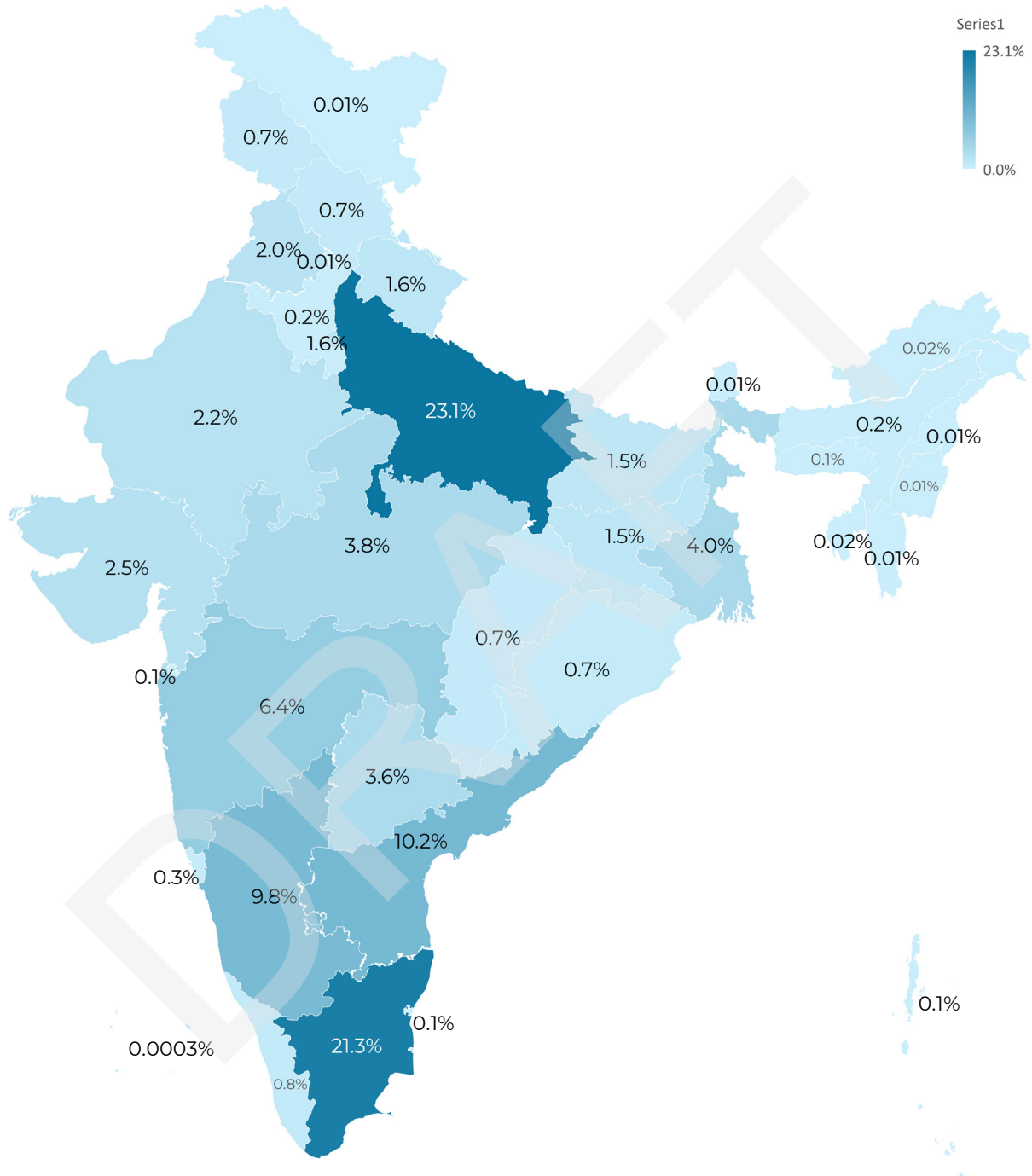


India's states are diverse with a vibrant and unique cultural, natural and historical landscape. Each state weaves its own narrative, inviting travelers to delve into the intricate details of the country's rich heritage.

Delhi, with its bustling markets and historical monuments, encapsulates the dynamic energy of North India. On the other hand, Kerala, with its tranquil backwaters and lush landscapes, invites a slower-paced exploration in the southern part of the country. Rajasthan stands as a testament to regal opulence, adorned with majestic palaces and forts that narrate tales of bygone eras. Tamil Nadu boasts ancient temples that stand as architectural marvels, while West Bengal captivates with its vibrant festivals, showcasing the state's cultural vibrancy. Meanwhile, Assam's lush tea plantations offer a serene escape into nature's bounty.

In this mosaic of experiences, India's states unfold as distinct realms, allowing travelers to immerse themselves in the multifaceted beauty and charm that characterise the country's regional diversity.

Figure 3: State-wise share of domestic visitors



Note: Data is as of 2019. Data for 2020, 2021 and 2022 have been disregarded as these were pandemic-affected years.

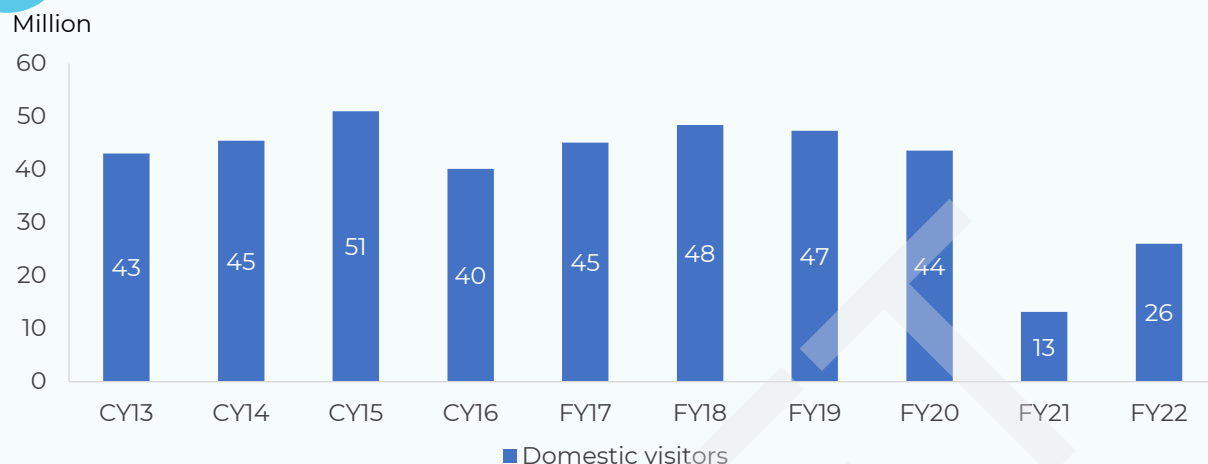
Source: Ministry of Tourism

Domestic visits to major Indian monuments

In fiscal 2019, 47 million domestic visitors were recorded across 116 centrally protected and tick-eted ASI monuments. The rising tourist footfall reflects the growing fascination with India's rich cultural heritage and showcases the collective efforts made to promote and preserve these in- valuable historical monuments for future generations to explore and appreciate.



Figure 4: Domestic visitors to centrally protected, ticketed monuments



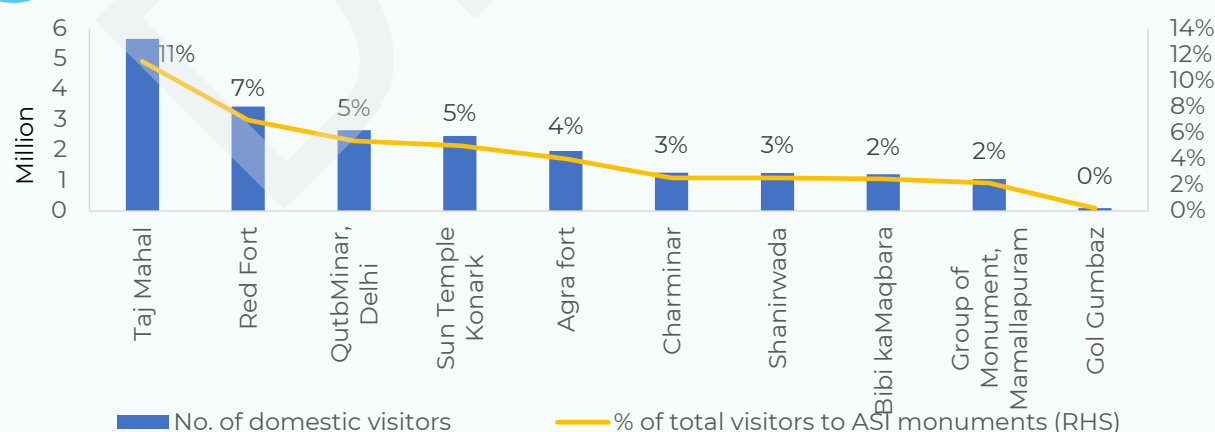
Source: Ministry of Tourism

The Taj Mahal, Red Fort and Qutub Minar are the most frequently visited domestic tourist destinations in India, all designated as UNESCO World Heritage Sites and conveniently located in major cities for easy accessibility. Their enduring popularity can be attributed to their historical significance, architectural magnificence, cultural value, and the sense of pride and admiration they evoke among visitors.

However, the number of visitors to ASI monuments remained nearly stagnant over fiscals 2017 to 2020, even prior to the pandemic, which calls for implementation of strategies and measures for improvement.



Figure 5: Top 10 most popular ASI monuments for domestic visitors



Note: Due to the outsized impact of the Covid-19 pandemic on the tourism sector between calendar years 2020 and 2022, data for 2019 has been taken into account for a more representative analysis.

Source: Ministry of Tourism

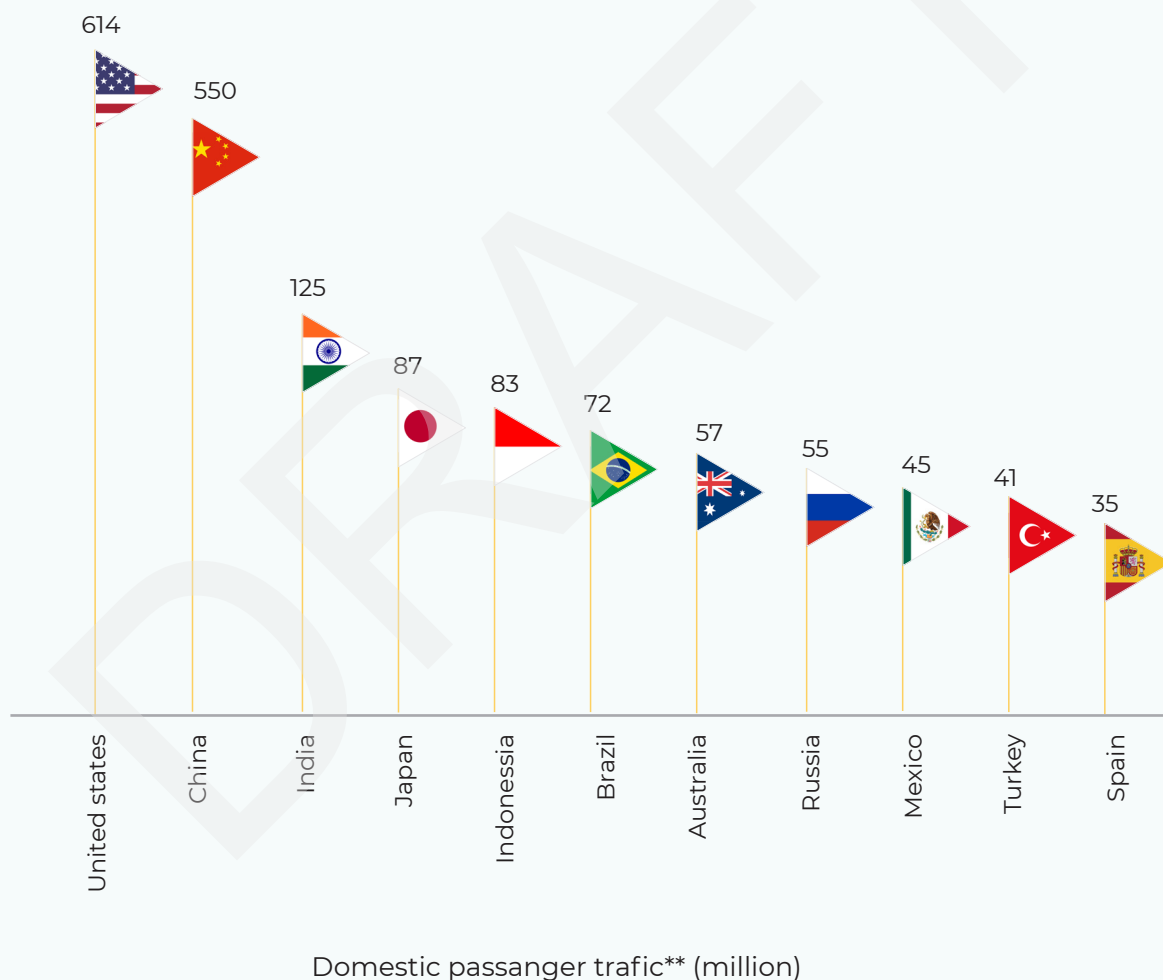
Domestic connectivity

Air passengers

Air travel provides swift and efficient connectivity across vast distances, enabling travellers to explore diverse destinations in a shorter time frame. It boosts growth of the domestic tourism industry, expanding accessibility to remote regions and fostering economic development in various parts of the country. India is the third-largest domestic air passenger market and is expected to be among the fastest-growing domestic air passenger markets globally over the next decade.



Figure 6: India became the third-largest domestic civil aviation market in 2019



Note: Data on a calendar year basis

Source: International Air Transport Association (IATA)

Domestic passenger traffic rose from 60.4 million in fiscal 2014 to 142 million in fiscal 2020, at 13% CAGR, aided by expanded capacity deployed by airlines, rising share of low-cost carriers (LCCs), narrowing difference between air travel and second class AC tickets and rising per capita gross domestic product (GDP).



Figure 7: Domestic airline traffic



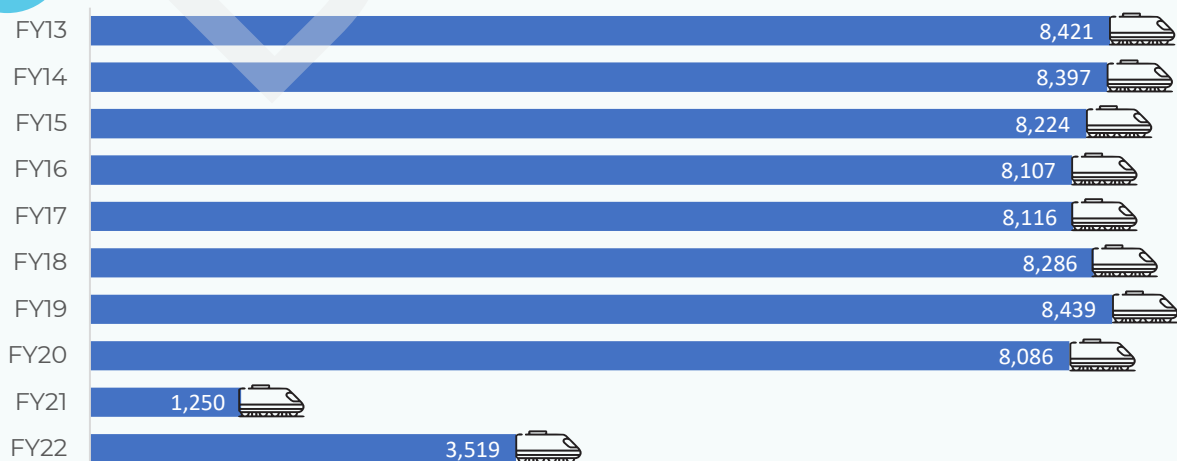
Source: Directorate General of Civil Aviation (DGCA)

Passengers carried by railways

The Indian Railways holds immense importance in tourism as it offers an extensive and affordable transportation network, facilitating convenient travel to various tourist destinations across the country. The railways provide a unique opportunity for travellers to experience India's diverse landscapes, cultures and heritage, while offering an eco-friendly and inclusive mode of transportation for domestic and international tourists alike. The increasing popularity of Vande Bharat might attract passengers away from airlines. The introduction of vistadome coaches in some trains leading to the inclusion of scenic routes, is also a major draw.



Figure 8: Passenger traffic carried by Indian Railways



Source: Ministry of Railways



Sectoral trends



Rising incomes

Increase in disposable incomes, driven by rising overall incomes, is a potent catalyst for the expansion of domestic tourism in India. The number of taxpayers reporting income of over Rs10 lakhs surged from 22,04,378 in fiscal 2014 to 83,61,294 in fiscal 2022², reflecting a robust CAGR of 18%. The expanding income base contributes to increased disposable incomes, providing individuals with the financial capacity to explore and engage in domestic tourism activities, thereby boosting the sector.



Diverse and vibrant destinations

India's diverse tourism offerings encompass a rich tapestry of experiences, from exploring iconic historical monuments such as the Taj Mahal and Red Fort to wildlife safaris in lush national parks. The country's scenic landscapes, serene beaches, vibrant festivals, and cultural heritage make it a captivating destination that caters to a wide range of interests and preferences for travellers from all over the world.



Infrastructure upgradation

- Improving connectivity in India has made destinations accessible and travel convenient for tourists. Enhanced transportation options, including better flight connections and improved road and rail networks, open up a wider array of destinations, encourage more travel and push overall growth of the tourism industry in the country.
- **Air:** Indian airlines' aircraft fleet increased from 395 in fiscal 2014 to 726 by June 2023³, while the number of operational airports doubled rising from 74 in 2014 to 148 in 2023⁴, aided by the Ude Desh ka Aam Naagrik (UDAN) scheme.
- **Railways:** The length of rail tracks has improved from 1,16,765⁵ km in fiscal 2014 to 1,25,190 km in fiscal 2022.
- **Road:** The national highway network has grown from 1,00,475 km in fiscal 2016 to 1,44,955 km in fiscal 2023⁶, enhancing road connectivity, which also got a thrust by post-pandemic rise in road trips and higher sales of sports utility vehicles (SUVs) in India. The share of SUVs in Indian passenger vehicle sales rose from 14% in fiscal 2014 to 52% in first half of fiscal 2024⁷.

² Income Tax Department

³ Directorate General of Civil Aviation (DGCA)

⁴ Ministry of Information and Broadcasting

⁵ Ministry of Railways

⁶ Ministry of Road Transport and Highways

⁷ Society of Indian Automobile Manufacturers (SIAM)



Amenities

Enhanced amenities, spanning accommodation, transportation, and recreational facilities, play a pivotal role in shaping the tourism landscape. Quality amenities not only attract tourists, but also encourage extended stays, increased exploration and positive recommendations, fostering sustained tourism growth. Furthermore, in line with voluntary guidelines for hotel classification, the number of hotel rooms in India has risen from 75,353 in CY 2013 to 1,00,929 hotel rooms as on April 30, 2023⁸. The number of tour operators surged from 188 in CY 2013 to 795 as on April 30, 2023⁹, further contributing to the evolving and enriched tourism infrastructure.



Digital tourism promotion and ease of booking trips online

Improvement in internet connectivity and the widespread use of social media platforms have greatly driven domestic tourism in India. Platforms such as **Instagram (516.9⁹ million users in India as of August 2023)** and **Facebook (448.1 million users in India as of August 2023)** have opened avenues to share and view travel experiences and stunning photographs. With easy access to travel information, online booking facilities and engaging content on social media, more Indians are inspired to explore their country's diverse destinations, leading to a surge in domestic travel and tourism activities.



Pandemic-induced boost to domestic tourism

Delays in obtaining international visas and stringent restrictions during the pandemic led to an increase in domestic tourism as Indian travellers opted for local destinations. The hassle-free accessibility of local destinations provides a convenient and enjoyable alternative, encouraging more Indians to explore their own country's rich cultural heritage, scenic landscapes and diverse experiences.



Favourable demographics

India's advantageous demographic profile, characterised by young individuals, is a key catalyst for the growth of the domestic tourism sector. The youthful demographic, constituting **68%¹⁰ of the population within the 15-64-age group**, not only represents a substantial portion of the potential traveller base, but also signifies a dynamic and adventurous market. This age group, being travel enthusiasts, is more likely to explore new destinations, aligning their preferences and interests with travel and exploration. Their inclination towards adventure contributes to the increased activities in domestic tourism

⁸ Ministry of Tourism

⁹ META – Company Reports

¹⁰ World Bank Estimates 2022



Rising trend in niche tourism

- Niche tourism, characterised by specialised interests and unique experiences, caters to diverse preferences and passions of travellers. India offers a rich tapestry of niche experiences – cultural, adventure, wildlife, wellness, or heritage tourism. This trend is not only attracting a new segment of travellers seeking tailored and immersive encounters but is also driving economic opportunities for local communities. Promotion and development of niche tourism contributes to a more diversified and resilient tourism sector, ultimately enhancing the overall appeal of India as a vibrant and multifaceted travel destination.
- Medical tourism, as a niche segment, has seen traction in recent years, with medical visitors rising from 4,27,014 in CY 2016 to 6,97,357 in CY 2019¹¹.



Increasing awareness

Government initiatives have played a pivotal role in fostering awareness of domestic tourism. Programmes such as Dekho Apna Desh, Incredible India and Swadesh Darshan have been instrumental in raising awareness among the populace. Dekho Apna Desh encourages citizens to explore the beauty and diversity of their country, promoting a sense of pride and connection to local destinations. The Incredible India campaign showcases the nation's cultural and natural treasures, capturing the imagination of potential travellers. Swadesh Darshana focuses on promoting thematic circuits within the country, encouraging people to discover and appreciate the rich heritage and attractions India has to offer.



¹¹ Ministry of Tourism

Government schemes and policies

Swadesh Darshan

The 2023-24 Union Budget allocated Rs 1,412 crore to revamp the Swadesh Darshan 2.0 scheme for 76 sanctioned projects and 15 tourist circuits under the identified thematic circuit in 31 states and UTs.

**SWADESH
DARSHAN**

The scheme was launched in fiscal 2015 to:

- Develop tourism infrastructure
- Promote cultural and heritage value to generate livelihood in identified regions
- Position tourism as the main engine of economic growth and job creation
- Adopt a community development and pro-poor tourism approach
- Develop tourism services to improve visitor experience/interest



PRASHAD

The 2023-24 Union Budget allocated Rs 250 crore to the PRASHAD scheme for the development of 45 projects sanctioned in 30 states/UTs.

The scheme was launched in fiscal 2015 to ;

- Develop 50 tourist destinations
- Develop identified pilgrimage destinations
- Develop infrastructure, connectivity and border linkages
- Develop Vibrant Village Programme
- Build unity malls in the state capital
- Promote one district, one product
- Give central financial assistance (CFA) to the state governments for promoting tourism



NIDHI 2.0

NIDHI 2.0 (National Integrated Database of Hospitality Industry) is a digital database that maintains details of accommodation units, travel agents, tour operators and others.



Adopt a Heritage

Launched in 2017, the Adopt a Heritage scheme promotes public-private collaboration to conserve and promote cultural and natural heritage. Individuals, companies and organisations can adopt sites, fostering maintenance and sustainable tourism, bolstered by expertise and funding. This initiative emphasises the importance of heritage preservation, community engagement and responsible tourism for safeguarding India's legacy.



Scheme of Capacity Building for Service Providers (CBSP)

The primary objective of the CBSP scheme, launched in 2020, is to meet the growing demand for skilled human resources within the tourism sector. While existing institutions offer education and training primarily for the organised sector, CBSP provides training and certification opportunities for the unorganised segments as well. This comprehensive scheme encompasses diverse training programmes, catering to newcomers' basic skill development and enhancing expertise of the existing service providers.



Scheme for Assistance to Central Agencies for Tourism Infrastructure Development

The scheme aims to develop tourism infrastructure at important destinations through collaboration with central agencies such as the Archaeological Survey of India (ASI), Port Trust of India and India Tourism Development Corporation (ITDC). As not all states/UTs can be covered under CFA, this initiative promotes development by central agencies. Restoration of monuments and structures to their original form is overseen by expert agencies approved by central agencies. The Ministry of Tourism bears up to 100% of the project cost, not exceeding Rs 50 crore, focusing on upgrading the existing products and creating world-class tourism offerings.



Marketing Development Assistance (MDA)

MDA aims to promote and market India globally. The scheme extends financial aid to tourism departments of the state governments/UT administrations. Eligible entities encompass a range of tourism sectors such as travel agents, inbound tour operators, transport operators, hotels, bed and breakfast units, home stays, motels, guest houses, tented accommodation units, standalone restaurants, convention centres and online aggregators. Assistance includes sales tours, participation in travel fairs and exhibitions, road shows organised by the Ministry of Tourism, and online promotion of tourism destinations and packages through digital platforms.



Travel for LiFE Programme

The Travel for LiFE programme, part of Mission LiFE, advocates sustainable tourism in India by encouraging tourists and businesses to take simple actions that benefit the environment, local economies and communities. Aligned with Sustainable Development Goals, it focuses on specific, measurable and easy-to-implement actions under the pillars of environmental sustainability, biodiversity protection, economic sustainability and sustainable tourism certification.



Champion Services Sector Scheme (CSSS)

As part of a pilot initiative under CSSS, the Ministry of Tourism's Incentive to Tour Operators for Enhancing Tourist Arrivals to India scheme will extend financial incentives to select foreign tour operators (FTOs) and approved inbound tour operators from designated countries.



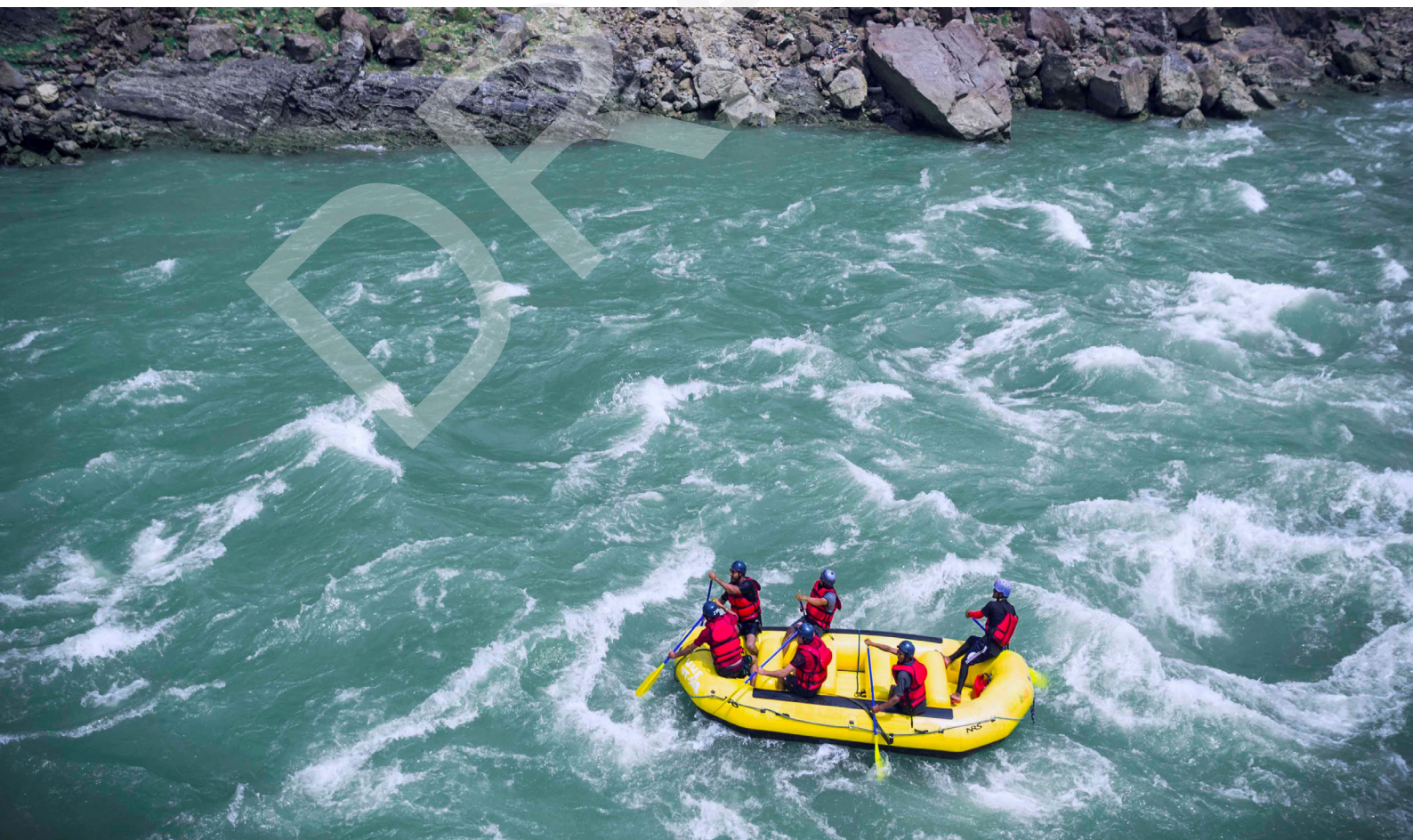
24x7 multilingual tourist info-helpline

The 24x7 multilingual tourist info-helpline assists tourists round the clock. This helpline offers information, guidance and support to travellers in multiple languages, ensuring they have access to essential information, recommendations and assistance throughout their journey.



CFA to Information Technology

The Ministry of Tourism launched this scheme to facilitate the development of tourism infrastructure by providing financial assistance for projects such as monument illumination, preservation and cruise terminal development. This assistance is directed towards central agencies such as the ASI, Port Trust of India, and ITDC, which own or manage these assets.



Way forward

A) Tourism infrastructure

Tourism infrastructure development is a cornerstone for fostering the growth of domestic tourism in India. An efficiently planned and modernised infrastructure plays a pivotal role in enhancing the overall travel experience for visitors exploring the country's diverse destinations. Well-connected transportation networks, including roadways, railways, and airports, ensure convenient and accessible travel, encouraging individuals to explore different regions.

The Ministry of Tourism allocates over 50% of its expenditure on Plan schemes for enhancing quality tourism infrastructure across states and union territories. The Infrastructure Development Division (IDD) focuses on crucial projects, including financial assistance to central agencies, supporting revenue-generating initiatives, and aiding in IT development with state governments/UTs. The Union Budget 2023-24 allocates Rs 1,412¹² crore to revamp the Swadesh Darshan 2.0 scheme, targeting 76 projects and 15 tourist circuits in 31 states/UTs. Launched in 2015, it aims to develop tourism infrastructure and promote cultural heritage. The PRASHAD scheme receives Rs 25,012 crore for 45 projects in 30 States/UTs, emphasising holistic development and tourism promotion.

"Transforming Heritage Trails: India Unveils Bold Strategies to Elevate Tourist Experiences Across Buddhist Circuit and Tamil Nadu's Rich Tapestry"

In October 2013, the Ministry of Tourism, Government of India, collaborated with the tourism departments of Bihar and Uttar Pradesh, and the International Finance Corporation (World Bank Group), to enhance tourist services along the "Buddhist Circuit." The completed project led to the launch of the "INVESTING IN BUDDHIST CIRCUIT" strategy on July 17, 2014, for integrated tourism development in Bihar and Uttar Pradesh.

The Tourism, Culture, and Religious Endowment Department of Tamil Nadu has introduced the Tourism Destination Development Scheme, emphasizing integrated and sustainable development to enhance the overall tourist experience at various destinations. The initiative involves identifying specific destinations for project development, aiming to upgrade infrastructure and amenities in alignment with international standards. Conceptual master plans for approximately 300 sites, covering cultural, heritage, hill, nature, coastal, and temple destinations, have been approved, with development planned in phases for selected sites.

B) Enhancing connectivity and accessibility

Air: India has **148 operational airports as of 2023** and has announced plans for operationalising **230-240¹³** airports, including heliports and water aerodromes, by 2030. Expanding the **UDAN scheme** to encompass underserved and unserved tourist destinations, while also operationalising and commercialising helicopter and seaplane services to specific locations, will significantly enhance tourism in India. This strategic move will improve accessibility, connectivity, and overall travel experiences, attracting more travellers to explore the country's hidden gems and contributing to the growth of the tourism industry. Indian airlines have **1,000+¹⁴** fleet on order. India being a supply-driven market should benefit from induction of aircraft in its fleet, thereby supporting domestic tourism numbers.

Railways: The Indian railways has announced plans for introduction of **3,000¹⁵ new trains**. This addition will boost domestic tourism. Newer trains such as Vande Bharat, Vistadome coaches, additional heritage railways could be explored to boost tourism via railways.

Roads: With highway construction proceeding at a pace of 28.3 km daily, India is projected to have **2 lakh km of national highways network** by 2025¹⁶. Improved highway connectivity and rising sales of cars, particularly SUVs, would drive up road trips, thereby supporting tourism numbers. The current pace of highway construction should be continued to support road tourism numbers.

Ropeways: Implementing cost-effective aerial ropeway systems in hill districts is a strategic way forward for improving tourism in India. The **Parvatmala Scheme**, a National Ropeways Development Programme, focuses on regions such as Himachal Pradesh, Uttarakhand, Jammu-Kashmir, and the North-East, aiming to turn them into tourism hubs, fostering local development and generating employment. Union Minister Nitin Gadkari's ambitious plan involves developing over 250 projects, covering a ropeway length exceeding 1,200 km in five years¹⁷. With 70+ operational ropeways and ongoing projects by the National Highways Logistics Management Ltd, ropeways play a transformative role, enhancing accessibility, promoting tourism, and boosting the economy of hilly regions in India.

Focus on last mile connectivity: Last-mile connectivity is a crucial strategy for propelling domestic tourism in India, closing the gap between transportation hubs and tourist destinations, especially in remote areas. By bolstering efficient road networks and local transportation services, last-mile connectivity not only enhances the overall travel experience, but also promotes the exploration of offbeat locations. Aligned with the **Swadesh Darshan scheme**, components like last-mile connectivity play a pivotal role in enhancing accessibility and infrastructure, fostering the sustainable growth of India's tourism sector.

B) Developing tourism for different categories of travellers

Considering the vast age and income demographics of India, different tourism activities should be established. By tailoring tourism activities to cater to the unique preferences of each demographic, India can foster a vibrant travel and tourism ecosystem that appeals to everyone, contributing to growth and sustainability of domestic tourism industry.

Drawing inspiration from places like Antalya and Gdynia who have implemented accessibility measures including establishing fully accessible beaches to disabled which has special wheelchair

¹³ Ministry of Civil Aviation

¹⁴ Boeing and Airbus

¹⁵ Ministry of Railways

¹⁶ Ministry of Road Transport and Highways

¹⁷ Minister - Ministry of Road Transport and Highways

sunbeds, conducting accessibility audits, and providing specialized training for lifeguards to interact effectively with individuals with disabilities.

The Ministry of Tourism has introduced a guidebook **“Accessible Tourism Guidelines for India 2022”** to establish best practices and standards for accessible tourism. These guidelines seek to sensitise stakeholders in the tourism sector to the principles of accessibility and inclusion, with a particular focus on understanding the diverse needs of tourists, especially persons with disabilities. Emphasising universal design, the guidelines offer specific recommendations for improving accessibility across various tourism typologies. The ultimate objective is to evolve a comprehensive framework for accessibility in diverse areas of tourism. Structured into 10 sections, these guidelines aim to promote accessible tourism for all, ensuring that no one is left behind in enjoying travel experiences.

Breaking Barriers: Kerala Unveils Ambitious Project to Make Tourism Accessible for All

In March 2019, Kerala Tourism launched the Barrier-free Kerala tourism project to make 120 destinations across the state disabled-friendly. The facilities include ramps, accessible toilets, lactation rooms, Braille pamphlets, signage, touch-screen kiosks, audio and sign aids, wheelchairs, and walking aids.

C) Promotion of local festivals and events

Indian festivals and fairs are the prime gateway to explore the rich cultural tapestry of the nation. With celebrations deeply ingrained in every region, season, and religious affiliation, India offers a myriad of experiences around prayers, goodwill exchange, traditional sports, music, dance, and feasting. The vast spectrum of renowned festivals provides a unique opportunity for tourism initiatives, aligning with the country's cultural heritage. Focusing on the promotion of local festivals and events emerges as a strategic approach to foster domestic tourism. These celebrations serve as vibrant showcases of regional traditions, creating authentic experiences for travellers while stimulating economic opportunities for local communities.

Digital Vibrancy and Cultural Splendor: Ministry of Tourism's Utsav Portal and DPPH Scheme Illuminate India's Tourism Landscape

The Utsav Portal, a digital initiative by the Ministry of Tourism, plays a pivotal role in spotlighting events, festivals, and live darshans, showcasing the diverse cultural landscape and promoting India as a globally sought-after tourist destination.

The Domestic Promotion Publicity and Hospitality (DPPH) Scheme by the Ministry of Tourism exemplifies a proactive initiative to showcase India's rich cultural tapestry. By providing Central Financial Assistance (CFA) to State Governments and Union Territory Administrations, the scheme supports the organization of fairs, festivals, and tourism-related events. This not only promotes tourism but also contributes to the development of local communities by fostering cultural exchanges and providing crucial financial aid for such endeavours.

D) Focus on niche tourism offerings

Focusing on niche tourism offerings is a compelling strategy for advancing domestic tourism in India. With rich cultural and geographical diversity, catering to specialised interests enhances the overall tourism experience. Whether it's wellness retreats, adventure tourism, heritage trails, or eco-friendly getaways, India's potential for niche experiences is vast. This approach not only elevates the appeal for domestic tourists, but also positions India as a multifaceted destination, accommodating a spectrum of preferences. Furthermore, the development of niche tourism contributes to local economies, creating sustainable opportunities for communities involved in these unique sectors. Emphasising niche tourism offerings not only enhances the diversity of domestic travel experiences but also fosters economic growth in tandem with sustainable tourism practices. The government's proactive initiatives, such as the 'National Strategy on Ecotourism,' 'National Strategy for Medical and Wellness Tourism,' 'National Strategy for MICE Industry,' and 'National Strategy for Adventure Tourism,' underscore a commitment to diversify and elevate India's domestic tourism landscape.

Medical tourism, as a niche segment, has seen traction in recent years, with medical visitors rising from 4,27,014 in CY16 to 6,97,357¹⁸ in CY19.

Homestays are becoming more of a preferred accommodation option, providing travellers with a personalised and immersive experience. The trend is exemplified by the presence of over 70,000 Indian properties on Airbnb, reflecting the growing popularity of this accommodation model. Ministry of Tourism has launched a comprehensive National Strategy for Promotion of Rural Homestays for development of rural tourism in India. This initiative seeks to boost economic development in rural areas by creating employment opportunities and preserving the rich heritage of rural communities through targeted promotions such as Best Tourism Village Competition 2024 and Best Rural Homestays Competition 2024.

Green Marvels and Homely Havens: Madhya Pradesh and Uttarakhand Lead the Charge with Innovative Tourism Policies

Madhya Pradesh's Ecotourism Policy represents a visionary state initiative aimed at promoting and developing niche tourism offerings. By emphasizing ecotourism, the policy not only showcases the state's rich biodiversity and natural beauty but also underscores a commitment to sustainable and responsible travel practices. This strategic approach seeks to attract tourists seeking unique and environmentally conscious experiences while fostering the preservation of Madhya Pradesh's diverse ecosystems.

The Deen Dayal Grah Awaas Yojana, started by the Uttarakhand government in 2018, is an initiative aiming to enrich tourism experience, uplift the economic status of residents, and boost employment opportunities. This scheme offers incentives, including loans and government subsidies for beneficiaries, fostering economic improvement. Permanent residents of Uttarakhand can avail themselves of this scheme, enjoying capital subsidies of 25% (up to 7.5 lakhs) and 33% (up to 10 lakhs) of the project cost in plains and hilly areas, respectively. Additionally, the state government provides interest subsidies of 50% of interest amount for the first 5 years, with maximum limits ranging from 1 and 1.5 lakhs in plains and hilly areas, respectively. Compensation for SGST on home stay income and loans up to Rs 2 lakh for upgradation, decoration, maintenance and construction of toilets in old building further enhance the scheme's appeal, making it a catalyst for sustainable tourism and community development.

¹⁸ Ministry of Tourism

E) Leverage technology and digital platforms

In the digital age, technology plays a pivotal role in transforming the landscape of domestic tourism in India. Embracing digital platforms for booking, information dissemination, and interactive experiences enhances the overall travel experience, providing convenience and accessibility for tourists. From virtual tours to user-friendly mobile apps, technology opens avenues to showcase diverse destinations and cultural attractions, catering to the preferences of the tech-savvy younger demographic.

Unlocking Innovation: National Digital Tourism Mission and NIDHI 2.0 Set to Transform India's Tourism Landscape

The government's initiatives, such as the National Digital Tourism Mission and NIDHI 2.0, underscore a commitment to leveraging technology for the industry's growth. These initiatives aim to create a Unified Tourism Interface and empower businesses by providing electronic delivery of services, fostering collaboration, and serving as platforms for ideation and sharing best practices within the hospitality and tourism sector. This tech-driven approach not only streamlines processes but also positions India at the forefront of innovative and seamless domestic tourism experiences.

F) Private sector participation

Through Public-Private Partnerships (PPPs), the government and private entities can collaborate to leverage their strengths for sustainable tourism growth. Private involvement is vital for creating and maintaining tourism infrastructure, enhancing visitor experiences in areas such as hotels, transportation, and attractions. Community engagement via private participation ensures local communities benefit, fostering ownership and sustainability. Facilitating such partnerships allows the government to tap into private sector innovation, efficiency, and investment capabilities, ultimately enhancing the competitiveness and attractiveness of Indian tourist destinations. Foreign investment is actively encouraged, with 100% Foreign Direct Investment (FDI) allowed under the automatic route for tourism and hospitality, including construction projects for hotels, resorts, and recreational facilities.

Private Sector Paves the Way: Island Eco-Tourism, Cultural Hubs, and Inclusive Growth Unveiled Across Andaman, Assam, and Jharkhand

Private sector involvement in tourism is exemplified by projects such as the Eco-Tourism Resort development in Lalaji Bay, Andaman and Nicobar Islands, and the Eco-Tourism Resort initiative on Minicoy Island, Lakshadweep. Additionally, the operation and maintenance of the North-East Tribal Museum and Cultural Centre in Nazirakhat, Assam, are examples of successful instances of private sector participation in promoting tourism.

Jharkhand's tourism policy aims at fostering comprehensive state development by aligning with national standards by 2025. Prioritizing local engagement, especially among tribal communities, the state focuses on awareness campaigns and inclusive participation of Scheduled Castes, Scheduled Tribes, differently abled individuals, and women in tourism.

Private Sector Paves the Way: Island Eco-Tourism, Cultural Hubs, and Inclusive Growth Unveiled Across Andaman, Assam, and Jharkhand

initiatives. Key strategies involve fostering private sector partnerships, organizing promotional events, training stakeholders, facilitating infrastructure development, and streamlining administrative processes. Special attention is directed towards enhancing civic amenities, beautifying religious sites, and optimizing wildlife sanctuaries for eco-tourism potential. Jharkhand's approach reflects a holistic commitment to tourism-driven growth with socio-economic inclusivity.

G) Domestic cruise tourism

India's focused initiatives to enhance the cruise sector, led by the Ministry of Ports, Shipping and Waterways (MoPSW), are poised to significantly boost domestic tourism. The development of cruise terminals serves as a crucial gateway, offering state-of-the-art facilities that not only attract international cruise liners but also inspire domestic travellers to explore coastal regions and islands. The government's strategic measures, including guaranteed berths, the removal of ousting charges, and concessional rates for major ports, aim to establish India as a premier cruise hub. The recent conditional Integrated Goods and Services Tax (IGST) exemption for foreign-flagged vessels further alleviates the financial burden on foreign cruise operators. In the last nine years, India's proactive initiatives have significantly boosted cruise tourism, with ship calls surging from 102 to 227 and passengers increasing from 84,000 to 4.72 lakh (a 461% rise) between 2013-14 and 2022-23¹⁹. River cruise tourism also saw a remarkable 180% increase. Under the Sagarmala Programme, 11 projects worth Rs 267 crore have been completed, promoting coastal and cruise tourism, aligning with the goal of making India the Asia Pacific's premier cruise hub by 2030. The government aims to achieve an annual cruise passenger increase to 18 lakh by 2030, with Maritime Amritkaal Vision 2047 projecting 25 operational cruise terminals and an estimated 5 million annual cruise passengers by that year.

¹⁹ Ministry of Ports, Shipping and Waterways





सत्यमेव जयते

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